

IRF Strategy

Initial Range Failure / Inverse Retest Failure

Summary

The **Initial Range Failure (IRF)** strategy is a rules-based, price-action framework for intraday short trades. It uses the first five-minute candle of the NSE session (9:15–9:20 AM) to define an initial range, then waits for a specific kind of failure: price pushes above the initial range high but cannot sustain the move. When that failure is confirmed by one of three defined entry methods, a short position is taken with a fixed **₹60 target** and a **₹35 or ₹40 stop-loss**.

IRF does not try to predict reversals. It waits for price to prove that an upward move has failed — and each of the three methods defines exactly what that proof looks like. This makes the strategy objective, repeatable and measurable.

The Three Entry Methods

Method 1 — Breakout and Failure	Method 2 — Extension and Reversal	Method 3 — Liquidity Sweep
Price closes above the initial range high, but the very next candle closes back inside the range. **Entry:** at the close of that candle. No further confirmation needed.	Price closes above the initial range high, extends further, forms a red candle, and then breaks a relevant recent level. **Entry:** on a close below recent support, or a red candle closing back below recent resistance.	Small candles form inside the range; a red candle sweeps above the high with a long upper wick and closes below recent support. **Entry:** on the support break, which is compulsory.

Strategy Specification

The table below defines every fixed parameter of the strategy. These parameters do not change from day to day or from method to method.

Parameter	Specification
Market	National Stock Exchange of India (NSE)
Instrument	NIFTY 50 — intraday
Session open	9:15 AM
Initial range candle	The first five-minute candle of the session, 9:15–9:20 AM
Chart timeframe	5-minute
Trading direction	Short trades only
Initial range	The high and low of the first five-minute candle, including wicks
Entry methods	Three IRF setups — Method 1, Method 2 and Method 3
Target	₹60 from entry — identical for all three methods
Stop-loss	₹35 or ₹40, selected according to the most recent opposite (green) candle
Sequence	Mark the range → identify the method → confirm the trigger → enter → place stop-loss and target

> **HOW THE ₹ VALUES ARE MEASURED**
>
> The ₹60 target and the ₹35 / ₹40 stop-loss are price distances from the entry price, measured on the instrument being traded. Apply them the same way on every trade so that results remain comparable.

Key Terms and Definitions

The following terms are used throughout this guide. Precise definitions matter: most execution errors come from applying a term loosely.

Term	Definition
Initial Range (IR)	The full price range of the first five-minute candle of the session (9:15–9:20 AM), from its highest to its lowest traded price.
Initial Range High (IRH)	The highest price of the first candle, including its upper wick. The primary reference level for all three methods.
Initial Range Low (IRL)	The lowest price of the first candle, including its lower wick.

Term	Definition
Close above IRH	A five-minute candle whose closing price is above IRH. A wick above IRH with a close below it is not a close above IRH.
Close back inside the range	A candle whose closing price is back below IRH, within the initial range.
Red candle	A bearish candle: the close is below the open.
Green candle	A bullish candle: the close is above the open.
Upper wick	The part of a candle between the top of its body and its high.
Recent support	A price level formed by recent candles where price has held or turned upward.
Recent resistance	A recent high where price has stalled or turned downward — for example, the top of the first push after the breakout.
Liquidity sweep	A brief push above an obvious level — here, IRH — that triggers orders resting there and is then rejected, leaving a long upper wick.
Opposite candle	For a short trade, the most recent green candle. It is the reference used to select the stop-loss.
Entry trigger	The exact event that permits entry for a given method.

Marking the Initial Range

Every IRF trade begins with the initial range. Mark it carefully and in the same way every day — all three methods are measured against it.

Step-by-Step Procedure

1. **Open the five-minute chart** at the start of the session.
2. **Identify the first candle** — the candle covering 9:15 AM to 9:20 AM.
3. **Wait for it to close.** The range is final only once this candle has closed at 9:20 AM.
4. **Mark the high.** Draw a horizontal line at the highest price of the candle, including its upper wick. This is the **Initial Range High (IRH)**.
5. **Mark the low.** Draw a horizontal line at the lowest price of the candle, including its lower wick. This is the **Initial Range Low (IRL)**.
6. **Monitor price around IRH.** All three methods focus on price moving above IRH and then showing signs of failure or reversal.

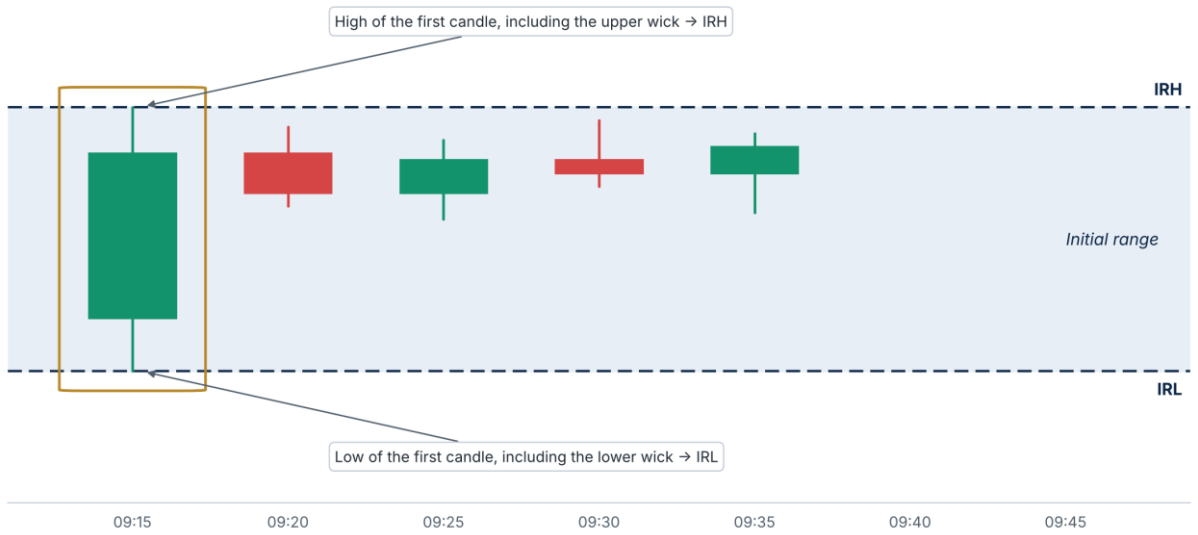


Figure 1 — *Marking the initial range from the 9:15–9:20 AM candle, wicks included*

Marking Info.

- Use the candle's full high and low — including the wicks — never its open and close.
- Use the 9:15–9:20 AM candle only. Do not substitute a later candle or a wider time window.
- Keep both lines on the chart for the rest of the session. They are the reference for every method.

Method 1 — Initial Range Breakout and Failure

Concept

Price breaks above the initial range high and the breakout candle closes above it. The very next candle, however, fails to sustain the breakout and closes back inside the initial range. That failure is the short-entry signal.



Figure 2 — *Method 1 — breakout candle closes above IRH; the next candle closes back inside the range*

Entry Rules

Step	Condition	Requirement
1	Initial range marked	IRH and IRL drawn from the 9:15–9:20 AM candle, wicks included
2	Breakout	Price breaks above IRH
3	Breakout close	The breakout candle closes above IRH
4	Failure	The next candle closes back inside the initial range
5	Entry	Short immediately at the close of that candle

> **ENTRY TRIGGER**
>
> Enter short at the close of the candle that closes back inside the range — the candle immediately after the breakout candle. No support or resistance break is required.

What Does Not Qualify

- **A wick above IRH without a close above it.** There is no breakout candle, so Method 1 has not started.
- **A next candle that dips inside the range but closes above IRH.** A wick back into the range does not confirm the failure — the close must be inside.
- **Entering before the next candle closes.** The trigger is the close, not the move.
- **Waiting for a support or resistance break.** Method 1 does not require one. Waiting moves the entry away from the defined trigger.

Worked Example

Suppose the initial range high is 100.

Candle	Action
Candle 1	Breaks above 100 and closes at 103 — a valid breakout close above IRH.
Candle 2	Closes at 99 — back inside the initial range.
Result	The short-entry signal activates at the close of Candle 2, at 99.

Prices are illustrative only. Every trade follows the defined entry and risk-management rules.

> **KEY RULE**
>
> The second candle must close back inside the initial range. A wick moving back into the range without the required close does not satisfy the entry condition.

Method 2 — Extended Upward Move and Reversal

Concept

Method 2 looks for an upward extension beyond the initial range, followed by a reversal signal. Unlike Method 1, price does not break out and immediately close back inside the range. Instead, price closes above the initial range high, continues upward, forms a red candle, and then breaks a relevant recent level.

That level can be **recent support or recent resistance** — both are valid confirmations, and both are explained in full below.

Entry Rules

Step	Condition	Requirement
1	Initial range marked	IRH and IRL drawn from the 9:15–9:20 AM candle
2	Breakout close	Price breaks above IRH and closes above it
3	Extension	Price extends further upward beyond the initial range
4	Red candle	A red candle forms during the upward extension
5	Reference level	The relevant recent level is identified — recent support or recent resistance
6	Level break	Support: a candle closes below it. Resistance: a red candle closes back below it. The short is taken on this break.

> **ENTRY TRIGGER**
>
> Take the short when the relevant recent level breaks — either a candle closes below recent support, or a red candle closes back below recent resistance after price has traded above it.

Two Valid Confirmations: Support Break or Resistance Break

Method 2 can be confirmed in either of two ways. Both are equally valid; use whichever level is the relevant one on the chart. The level does not have to be support specifically.

Confirmation	Reference level	Entry trigger
Support break	**Recent support** — a low formed by recent candles during the extension, such as a pullback low.	A candle closes below that support.
Resistance break	**Recent resistance** — a recent high that capped price during the extension, such as the top of the first push after the breakout.	Price trades back above the resistance, a red candle forms, and a red candle then closes back below the resistance.

Confirmation A — Support Break

Price extends above the initial range and leaves a recent support level behind it. Once a red candle appears, the short is confirmed when a candle closes below that support.

1. A candle closes above IRH.
2. Price extends further upward; a pullback low forms recent support.
3. A red candle forms.
4. A candle closes below recent support — **enter short at that close**.

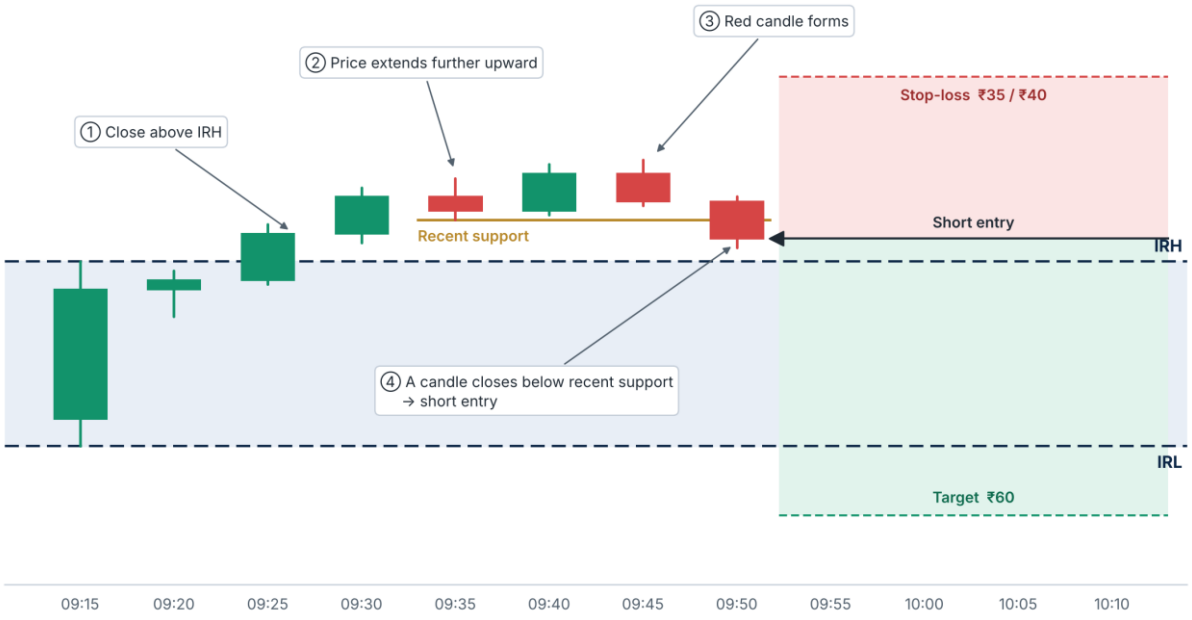


Figure 3 — *Method 2, support break — close above IRH, extension, red candle, then a close below recent support*

Confirmation B — Resistance Break

Here the extension stalls at a recent high, which becomes resistance. Price later trades back above that level but cannot hold there. When a red candle closes back below the resistance, the attempt to extend has failed — buyers who bought above that level are now trapped.

1. A candle closes above IRH.
2. The first push tops out — that high is the recent resistance.
3. Price pulls back, then pushes back above the resistance.
4. A red candle forms.
5. A red candle closes back below the resistance — **enter short at that close**.

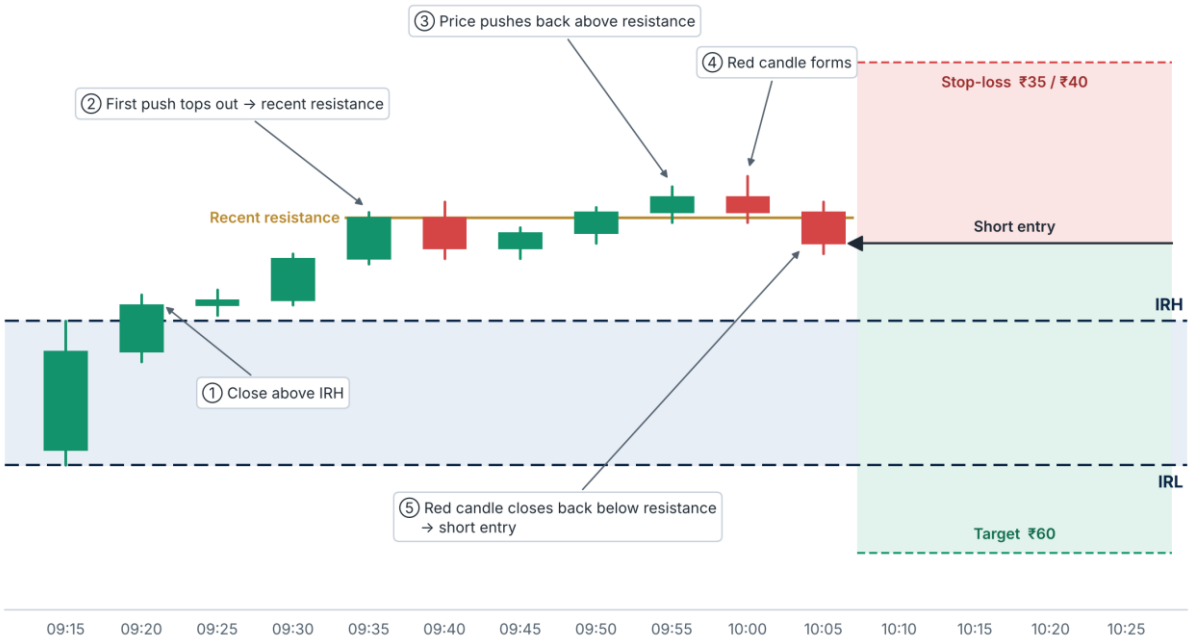


Figure 4 — *Method 2, resistance break — price pushes back above recent resistance, then a red candle closes back below it*

> **RECOMMENDED PRACTICE**
>
> Confirm either break on a candle close, not an intra-candle wick: a close below support, or a close back below resistance. This keeps Method 2 objective and consistent with the close-based triggers of Methods 1 and 3.

What Does Not Qualify

- **A red candle with no level break.** A red candle by itself is not sufficient confirmation.
- **Price still holding above resistance.** Until a red candle closes back below the resistance, the push above it has not failed.
- **No close above IRH.** If price only wicked above the range, Method 2 has not started.
- **An immediate close back inside the range.** If the candle after the breakout closes back inside, the setup is Method 1, not Method 2.
- **Insisting on a support break only.** Method 2 accepts a relevant support break or a relevant resistance break. The compulsory support-break rule belongs to Method 3.

Worked Examples

Support Break

Suppose the initial range high is 100. Price closes above 100, continues upward to 105, and then forms a red candle. When a candle closes below the relevant recent support, the short setup becomes valid according to Method 2.

Resistance Break — NIFTY 50, 5-Minute Chart

Stage	What happened
Initial range	IRH 24,081.75 · IRL 24,039.95
Breakout close	The candle after the opening candle closes above 24,081.75.
Recent resistance	The first push tops out at 24,128.75.
Push above resistance	Price pulls back, then trades back above 24,128.75, and a red candle forms.
Entry	A red candle closes back below the resistance at 24,123.50 — short entry.
Stop-loss	The most recent green candle is within ₹35 of entry, so the ₹35 stop applies: 24,158.50.
Target	₹60 below entry: 24,063.50.

Levels are taken from a NIFTY 50 five-minute session to illustrate the sequence. The exact level is always identified from the chart.

> **KEY RULE**
>
> Method 2 accepts either confirmation: a close below recent support, or a red candle closing back below recent resistance. Do not impose the compulsory support-break requirement of Method 3 on this method.

Method 3 — Advanced IRF / Liquidity Sweep

Concept

Method 3 is the advanced IRF setup, built around a liquidity sweep above the initial range high. Price first forms small candles inside the initial range. A subsequent red candle then develops a significant upper wick that extends beyond IRH. The critical confirmation is a break of recent support.

The recent support break is **compulsory**. A wick extending above the initial range high is not, on its own, enough to qualify as this setup.

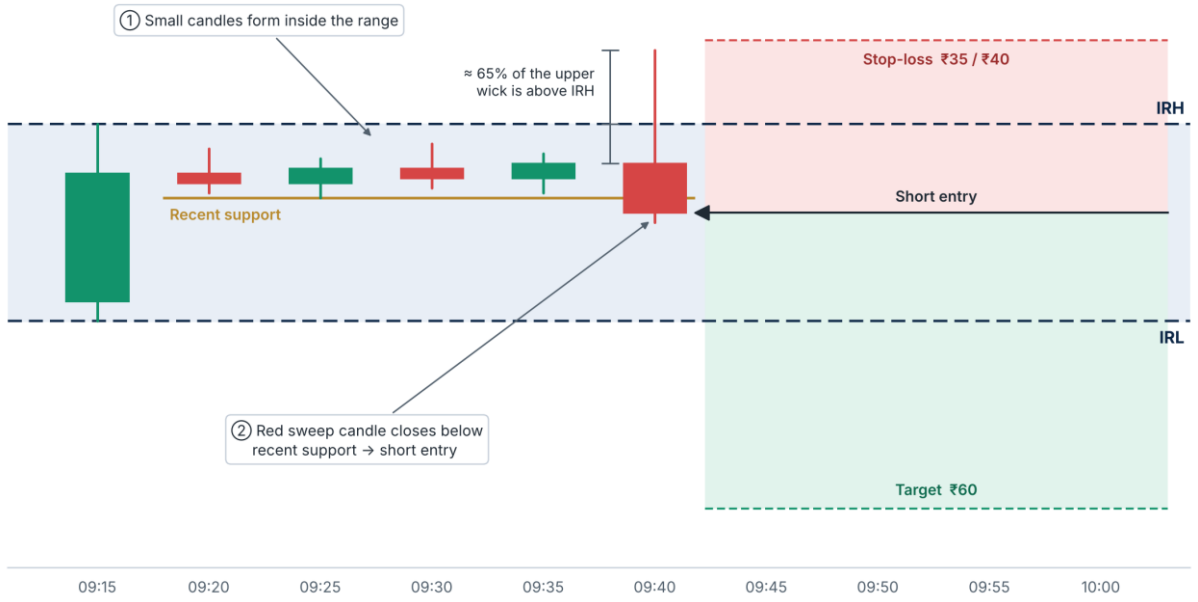


Figure 5 — *Method 3 — small candles inside the range, a red candle sweeps above IRH and closes below recent support*

Entry Rules

Step	Condition	Requirement
1	Initial range marked	IRH and IRL drawn from the 9:15–9:20 AM candle
2	Compression	Small candles form inside the initial range
3	Sweep candle	A red candle forms with a significant upper wick extending beyond IRH
4	Wick criterion	Approximately 60–70% of the upper wick is outside (above) IRH
5	Reference level	The recent support formed by the preceding candles is identified
6	Support break	The red candle closes below that recent support — compulsory

ENTRY TRIGGER

The setup is valid only when the red sweep candle closes below recent support. That support break is the entry confirmation.

The Wick Condition

The upper wick should extend significantly above the initial range high. The guide is that approximately 60–70% of the upper wick lies outside the range. It is measured as follows:

Measure	Calculation
Upper wick	Candle high − top of the body (the open, for a red candle)
Portion above IRH	Candle high − IRH
Share outside the range	Portion above IRH ÷ upper wick

Illustration. IRH is 100. A red candle opens at 92, reaches a high of 115 and closes at 82. The upper wick is 115 − 92 = 23. The portion above IRH is 115 − 100 = 15. The share outside the range is 15 ÷ 23 ≈ 65% — within the 60–70% guide. Recent support is at 85, and the candle closes at 82, below it: the support break is confirmed.

The percentage is an approximate qualifying feature. It is never a substitute for the support-break confirmation.

The Most Important Rule: The Support Break

KEY RULE — THE SUPPORT BREAK IS COMPULSORY

- Recent support must be identified.
- Price must close below that support.
- If the wick sweeps above the initial range but recent support does not break, the Method 3 confirmation is absent — there is no trade.

Method 3 is not confirmed by the liquidity sweep alone. The recent support break is the essential condition.

What Does Not Qualify

- **A sweep candle that closes above recent support.** The rejection is visible, but sellers have not followed through.
- **A wick that barely clears IRH.** If only a small part of the wick is above the range, the significant sweep the method describes has not occurred.
- **A large, trending advance instead of small candles inside the range.** Method 3 begins with compression inside the range.

Comparing the Three Methods

All three methods belong to the same strategy, but their confirmations differ. The matrix below sets them side by side. Apply only the rules of the method that is forming.

Condition	Method 1	Method 2	Method 3
Starting behaviour	Breakout above IRH	Breakout above IRH, then extension	Small candles inside the range
Close above IRH	Required (breakout candle)	Required	The setup involves a sweep (wick) above IRH, not a close above it
Further upward movement	Not required	Required	A wick extends significantly above IRH
Red candle	Not specified	Required	Required (the sweep candle)
Upper wick ≈60–70% outside the range	Not applicable	Not specified as compulsory	Required (approximate guide)
Level break	Not required	Relevant recent support or resistance	Recent support — compulsory
Entry trigger	Next candle closes back inside the range	Close below recent support, or red candle closes back below recent resistance	Red candle closes below recent support
Target / Stop-loss	₹60 / ₹35 or ₹40	₹60 / ₹35 or ₹40	₹60 / ₹35 or ₹40

Telling the Methods Apart in Real Time

- **A candle has closed above IRH.** Watch the very next candle. If it closes back inside the range, the setup is **Method 1** — enter at that close.
- **Price holds above IRH and keeps rising.** The setup can only become **Method 2**. Wait for a red candle, then a close below recent support or a red candle closing back below recent resistance.
- **Price stays inside the range with small candles, then a red candle spikes above IRH.** Assess **Method 3** — and act only if that candle closes below recent support.

> **METHOD 2 VS METHOD 3 — THE CRITICAL DIFFERENCE**
>
> Method 2 accepts a relevant support or resistance break and needs a close above IRH first; Method 3 involves a sweep (wick) above IRH, uses the ≈60–70% wick criterion, and requires a support break. Applying one method's confirmation to the other is one of the most common causes of poor execution.

Quick Reference Card

Range	Timeframe	Target	Stop-loss
9:15–9:20 AM candle, wicks included	5-minute · Short only	₹60 — all methods	₹35 (distance below ₹35) · ₹40 (distance above ₹35)

Method 1 — Breakout and Failure

LOOK FOR

A candle that closes above IRH.

TRIGGER

The next candle or following candle closes back inside the range. Enter at that close.

REMEMBER

No support or resistance break is needed. A wick back inside is not enough.

Method 2 — Extension and Reversal

LOOK FOR

A close above IRH, further upward extension, then a red candle.

TRIGGER

A close below recent support, or a red candle closing back below recent resistance.

REMEMBER

A red candle alone is not confirmation. Support or resistance are both valid.

Method 3 — Liquidity Sweep

LOOK FOR

Small candles inside the range, then a red candle whose upper wick sweeps above IRH (≈60–70% outside), Or an Higher price rejection candle also works.

TRIGGER

That red candle closes below recent support.

REMEMBER

The support break is compulsory. The sweep alone is never enough.

GOLDEN RULES

- Mark IRH and IRL first — wicks included.
- Closes confirm; wicks do not.
- Apply one method's rules at a time.
- Place the stop-loss and ₹60 target immediately, and never widen the stop.
- Record every trade by method and review each method separately.

Reference Charts

Annotated chart examples of the IRF methods. Each chart marks the initial range (IRH and IRL), the entry candle, the stop-loss and the target.

Reference Chart 1 — Marking the Initial Range



Notes:

Reference Chart 2 — Method 1: Initial Range Breakout and Failure



Notes:

Reference Chart 3 — Method 2: Extended Upward Move and Reversal



Notes:

Reference Chart 4 — Method 3: Advanced IRF / Liquidity Sweep



Notes:

Reference Chart 5 — Additional Example



Notes:

Reference Chart 6 — Additional Example



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